

10x Genomics

NASDAQ : TXG · \$5.97B mkt cap · 127M sh · \$540M cash, zero debt · ~\$540M net cash, no debt; ~127M shares (dual-class, founder voting control); Mature-Company Revenue ~\$600M, flat-to-declining 3yrs; cash-generative (+\$26M op cash Q1'26); ~85% recurring consumables (70% gross margin); DCF NIH-funding exposed

\$47.02

THE CENTRAL QUESTION

Is the market paying a spatial-plus-clinical multiple (~8x EV/sales) for a single-cell core that is flat-to-declining — or correctly pricing a margin inflection and a genuine diagnostics second act?

10x trades at ~\$5.0B (~\$39/sh) — ~8x EV/sales on ~\$600M revenue flat-to-declining for three years. A dominant tools franchise: >7,900 instruments, ~85% recurring 70%-margin consumables, net-cash and cash-generative after a 17% opex cut. The mature DCF holds the flat core and asks whether the second act the market now pays for — a clinical-diagnostics pivot (CLIA lab targeted early-2027), a multiomic Proteintech expansion, and the Atera spatial launch — becomes a durable reimbursed platform. The finding: even crediting that optionality in the tail, the recent triple prices execution the ~3%-grind base doesn't support — the modal case sits ~55% below spot.

PROBABILITY-WEIGHTED EXPECTED VALUE

\$17.76

expected fair value today
-62.2% vs spot \$47.02

FORWARD COMPOUNDED VALUE

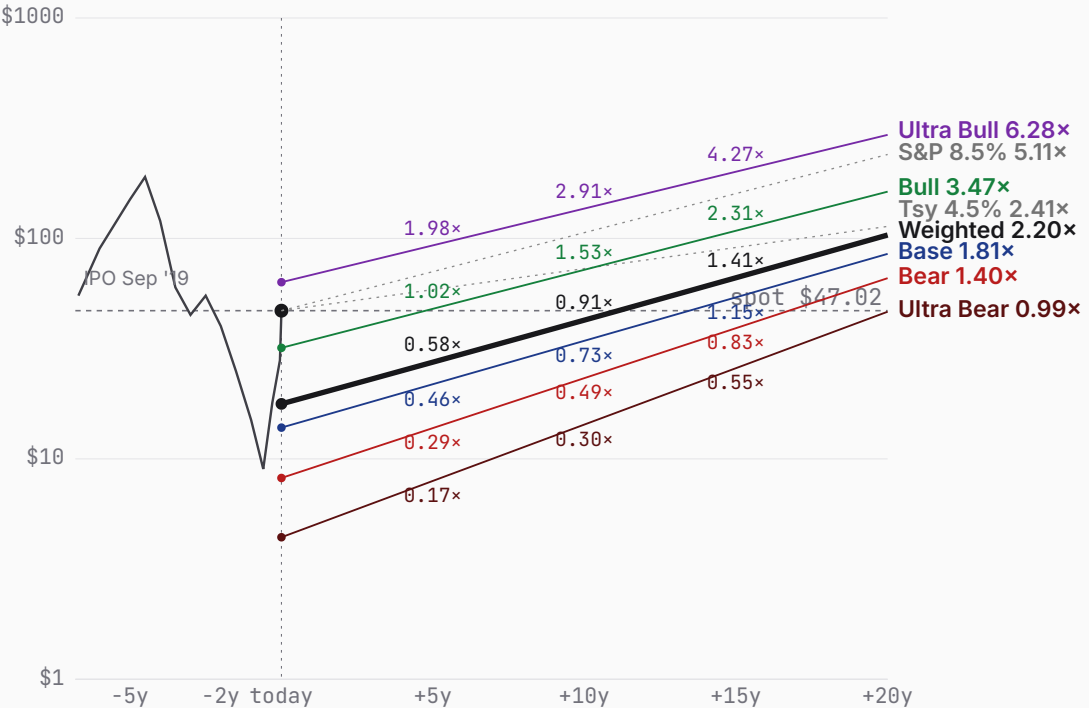
+5y	+10y	+15y	+20y
\$27.47	\$42.62	\$66.35	\$103.64
0.58x spot	0.91x spot	1.41x spot	2.20x spot

WEIGHTING RATIONALE

- Ultra Bear 15% NIH cuts crush demand; revenue declines; ~\$5.
- Bear 30% Flat revenue, thin margins; dominant ex-growth; ~\$8.
- Base 30% Slow ~3% grind; margins recover; ~\$14 (~-65%).
- Bull 17% Core to ~10% + clinical second act begins; ~\$32 (~-18%).
- Ultra Bull 8% Diagnostics platform inflection (~14%); ~\$63 (~+62%).

Bull (17%) + Ultra Bull (8%) together contribute \$10.49 — 59% of the \$17.76 expected value despite 25% combined probability. Today's spot (\$47.02) sits 165% above the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR	\$4.41	BEAR	\$8.19	BASE	\$13.86	BULL	\$31.89	ULTRA BULL	\$63.31
	-90.6% vs spot		-82.6% vs spot		-70.5% vs spot		-32.2% vs spot		+34.6% vs spot
CAGR -3.6% WACC 12.5% CAGR -3.6% Prob 15%		CAGR -0.4% WACC 11.0% CAGR -0.4% Prob 30%		CAGR +2.6% WACC 9.5% CAGR +2.6% Prob 30%		CAGR +10.1% WACC 8.5% CAGR +10.1% Prob 17%		CAGR +13.7% WACC 8.0% CAGR +13.7% Prob 8%	
NIH cuts bite; revenue declines.		Stalled; flat revenue, thin margins.		Slow ~3% grind; margins recover.		Spatial plus the clinical second act.		Diagnostics platform inflection.	

PROBABILITY WEIGHTS

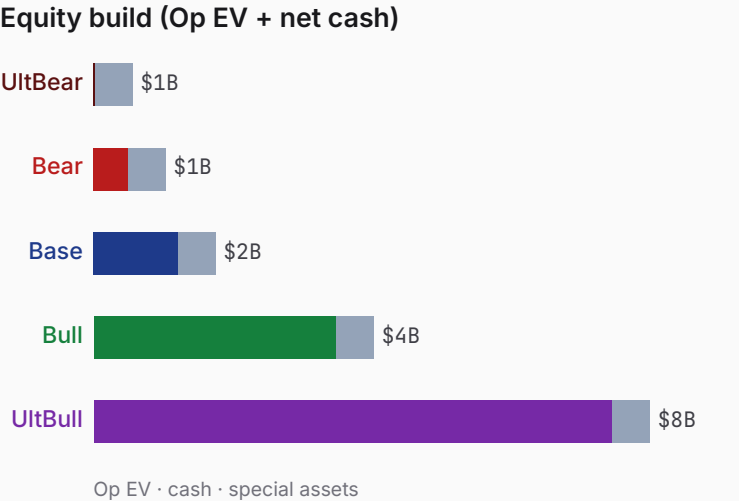
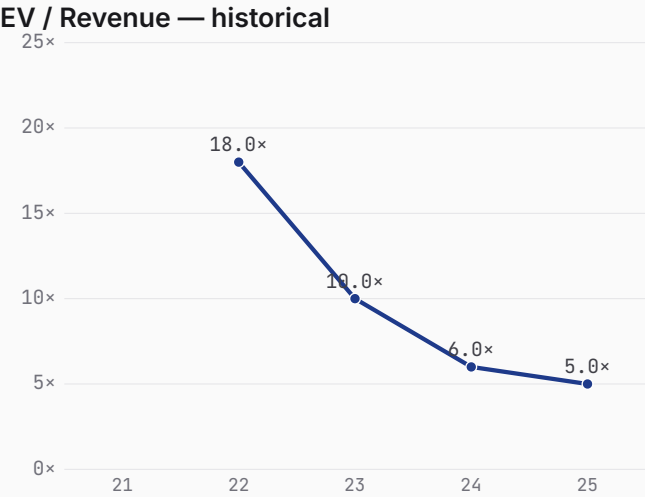
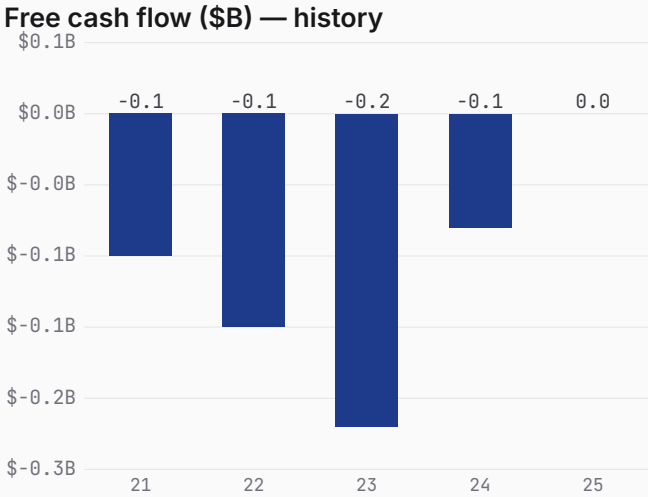
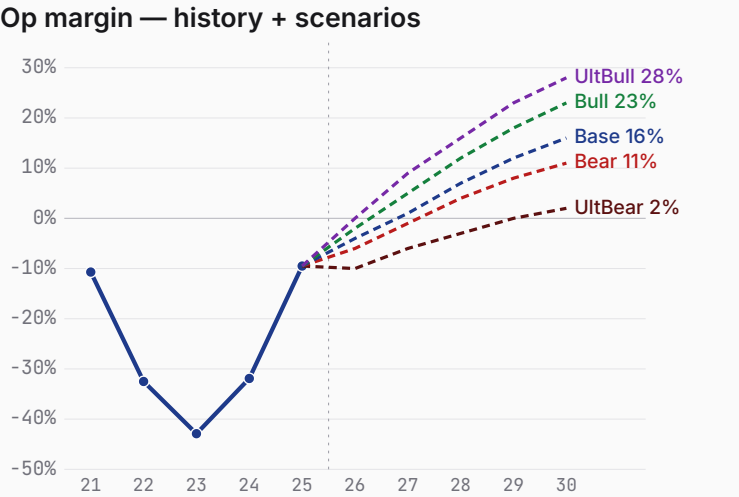
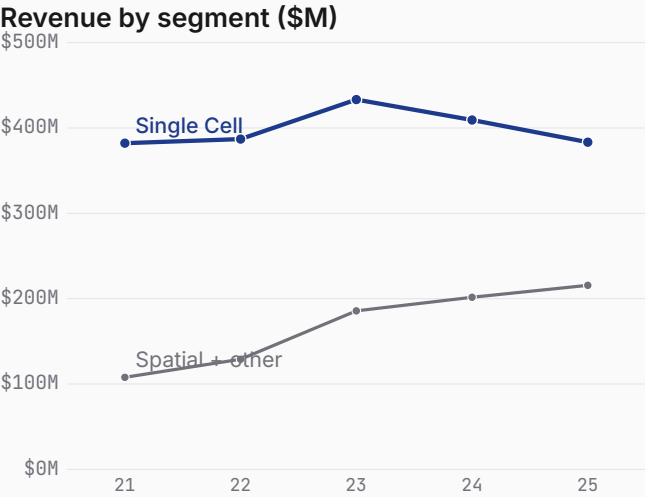
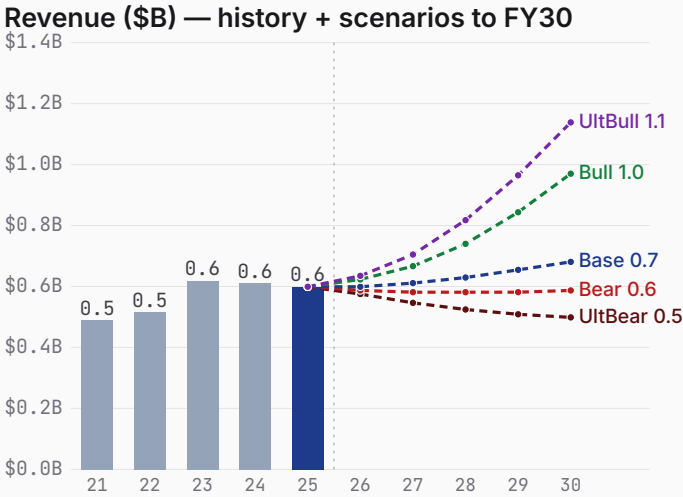
Ultra Bear 15% Bear 30% Base 30% Bull 17% Ultra Bull 8% · Weighted expected \$17.76 (-62.2% vs spot)

ULTRA BEAR	\$4.41	BEAR	\$8.19	BASE	\$13.86	BULL	\$31.89	ULTRA BULL	\$63.31
	-90.6% vs spot		-82.6% vs spot		-70.5% vs spot		-32.2% vs spot		+34.6% vs spot
Probability 15%		Probability 30%		Probability 30%		Probability 17%		Probability 8%	
NIH cuts bite; revenue declines.		Stalled; flat revenue, thin margins.		Slow ~3% grind; margins recover.		Spatial plus the clinical second act.		Diagnostics platform inflection.	
WHY 15%		WHY 30%		WHY 30%		WHY 17%		WHY 8%	
The NIH funding shock is the dominant risk — ~25% of revenue is NIH-tied, instruments already fell 39%, and the academic market could shrink for years. 15% weight on a sustained decline.		Spatial grows but can't offset single-cell erosion + the NIH drag; revenue stays flat. 30% weight — a very plausible 'dominant but ex-growth' outcome given the 3-year stall.		Guidance holds (0-4%), cost discipline converts to FCF, spatial roughly offsets single-cell. 30% as the central, modal outcome — consistent with consensus ~3.8% CAGR.		Requires the core to re-accelerate to ~10% AND the clinical/multiomic second act to begin converting AND operating leverage to land. Each plausible; jointly ~17%.		Tail: the clinical/multiomic second act becomes a durable reimbursed platform at peak margins. ~8% — the platform thesis fully realized, held modest because the pivot is early and unproven.	
WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS	
The NIH / academic funding shock deepens — the proposed ~40% NIH cut sticks, instrument placements stay frozen, and the single-cell consumables decline accelerates faster than spatial can offset. Revenue falls ~4%/yr toward ~\$0.50B by FY30; the franchise shrinks.		Revenue stays roughly flat — the NIH drag offsets the Xenium spatial ramp, and single-cell erosion continues. 10x holds its dominant position but doesn't grow; margins recover only modestly on cost discipline.		The modal path: FY26 guidance holds (0-4% growth), spatial roughly offsets single-cell decline, and the 17% opex cut plus modest top-line growth converts the 70% gross margin toward a low-teens FCF margin — revenue ~\$0.68B by FY30 at ~3% CAGR.		The bull: Xenium spatial and instrument-free chemistry re-accelerate the core to ~10% CAGR, NIH funding stabilizes, and the second act begins to contribute — the early-2027 CLIA diagnostics lab and multiomic (Proteintech) same-sample pull-through layer reimbursed revenue on top of the tools franchise, lifting the FCF margin toward ~23% and revenue to ~\$0.97B by FY30.		The tail: the clinical-diagnostics and multiomic second act inflects into a durable reimbursed platform on top of the spatial franchise — 10x's installed-base and IP moat compound, and revenue reaches ~14% CAGR (~\$1.14B by FY30) at platform margins (~28% FCF).	
Even net-cash and debt-free, a declining-revenue tools business earns a distressed multiple — the DCF lands near \$5, ~80% below spot. The recurring consumables annuity erodes with the shrinking installed base.		A flat ~\$0.6B-revenue franchise at a mid-single-digit FCF margin earns ~\$8/share on the DCF — well below spot. 'Dominant, but ex-growth.'		DCF ~\$14/share — ~50% below spot. The franchise is real and finally profitable, but a 3%-grower at a low-teens FCF margin doesn't support ~5x EV/sales. The market is paying for a re-acceleration the base case doesn't deliver.		DCF ~\$32/share. The Power gate is a single-cell + spatial installed base with multiomic same-sample lock-in; the falsifier is CLIA reimbursement/coverage failing to materialize, or the Atera Q4 contribution slipping.		DCF ~\$63/share — well above spot. The genuine 'research tools become a diagnostics platform' outcome; ~8% probability, trimmed from the base and sized modestly given a pivot that is early, unproven, and ~a year out.	

10x Genomics business snapshot

Bear \$8.19 Base \$13.86 Bull \$31.89

FY21-FY25 history + FY26-FY30 scenario projections · fiscal years end Dec 31 · Q1 2026 10-Q, FY25 results



Sources: 10x Genomics Q1 2026 10-Q (net cash \$0.54B), FY2025 results (\$599M underlying revenue ex-litigation), segment + installed-base disclosures, patent-settlement filings. Revenue modeled as a growth-rate path off the FY25 base; FCF = revenue x FCF margin (mature framework, no dilution); terminal = Gordon at the scenario WACC. EV/sales context vs mature life-science-tools peers.

10x Genomics 7 Powers · the moat, scored

Bear \$8.19 Base \$13.86 Bull \$31.89

Arena. Single-cell + spatial biology tools — 10x Genomics (Chromium single-cell, Visium/Xenium spatial; ~85% recurring consumables) vs Illumina (sequencing platform, entering spatial), Bruker (CosMx/GeoMx ex-NanoString), Parse (instrument-free single-cell), Standard BioTools; defending a dominant tools franchise as growth stalls.

POWER AUDIT
dominant-power durability: medium

POWER AUDIT · 7 POWERS

Scale Economies · thesis leans here 	Razor/blade installed base (>6,400 Chromium + >1,500 spatial instruments) → ~85% recurring high-margin consumables; the strongest, most durable Power.
Network Economies 	A published-protocol / citation network is mild; not a hard flywheel.
Counter-Positioning 	10x is the incumbent, not counter-positioned; instrument-free entrants (Parse) counter-position against its razor model.
Switching Costs 	Entrenched lab workflows, protocols, and data pipelines create real but not insurmountable lock-in.
Branding 	The 'gold standard' single-cell brand; strong in academia.
Cornered Resource 	Extensive droplet + in-situ patent estate (bankrupted NanoString; forces rivals to license) — durable on existing methods, but doesn't stop combinatorial-barcoding designs-around.
Process Power 	Manufacturing + assay learning curve; real but contestable.

COMPETITIVE READ

10x's Scale-Economies Power — a >7,900-instrument installed base throwing off ~85% recurring, 70%-margin consumables — is real and durable, and its IP estate bankrupted NanoString. But the Power is being audited in real time: single-cell consumables are declining, instrument placements are frozen by the NIH funding shock, and instrument-free entrants (Parse — and 10x's own ScaleBio acquisition) attack the razor model the annuity depends on. The market pays ~5x EV/sales for a spatial re-acceleration the base case doesn't yet support; the durability of the consumables annuity through the academic-funding shock is the falsifier the valuation rests on.

PEER SET

Illumina Sequencing platform 10x's reads run on; entering spatial; huge balance sheet. 10x is suing it over spatial/single-cell IP.	3% gr · 20% mgn · ~5x sales
Bruker CosMx/GeoMx (ex-NanoString) spatial imaging; settled & licenses 10x IP (pays \$68M + royalties).	5% gr · 15% mgn · ~3x sales
Parse Biosciences Instrument-free split-pool single-cell — removes the razor, undercuts Chromium. 10x won an ATAC injunction vs it.	· private
Standard BioTools Fluidigm + Olink; multiomics-adjacent, consolidating.	0% gr · ~2x sales

THREAT VECTORS · FALSIFIERS

Counter-Positioning · Instrument-free entrants (Parse; 10x's own ScaleBio chemistry) falsifier: Single-cell consumables decline accelerates beyond -5%/yr as researchers adopt instrument-free workflows.
Scale Economies · NIH / academic funding cuts falsifier: Instrument placements stay frozen (instruments < -20%/yr) for two more years, shrinking the future consumables annuity.
Cornered Resource · Illumina spatial entry + design-arounds falsifier: Illumina or a combinatorial-barcoding rival takes material spatial share while 10x's IP suits stall.

10x Genomics show your work

Bear \$8.19 Base \$13.86 Bull \$31.89 · Weighted \$17.76 (-62.2%)

ULTRA BEAR					BEAR					BASE					BULL					ULTRA BULL				
\$4.41					\$8.19					\$13.86					\$31.89					\$63.31				
ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS				
5y revenue CAGR (%)					-3.6					-0.4					+2.6					+10.1				
Year-5 op margin (%)					2.0					11.0					16.0					23.0				
WACC (%)					12.5					11.0					9.5					8.5				
Terminal growth (%)					-1.0					1.0					2.5					3.3				
Terminal FCF (\$B)					\$0.01B					\$0.07B					\$0.11B					\$0.23B				
Starting revenue (\$B)					0.60					0.60					0.60					0.60				
Scenario probability (%)					15					30					30					17				
5-YEAR DCF · \$B					5-YEAR DCF · \$B					5-YEAR DCF · \$B					5-YEAR DCF · \$B					5-YEAR DCF · \$B				
FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF
FY26	0.58	-10%	-0.02	-0.02	FY26	0.59	-6%	+0.00	+0.00	FY26	0.60	-4%	+0.01	+0.01	FY26	0.62	-2%	+0.03	+0.02	FY26	0.63	+0%	+0.04	+0.04
FY27	0.55	-6%	-0.01	-0.01	FY27	0.58	-1%	+0.02	+0.01	FY27	0.61	+1%	+0.03	+0.03	FY27	0.67	+5%	+0.05	+0.04	FY27	0.70	+9%	+0.09	+0.07
FY28	0.52	-3%	+0.00	+0.00	FY28	0.58	+4%	+0.04	+0.03	FY28	0.63	+7%	+0.06	+0.04	FY28	0.74	+12%	+0.11	+0.09	FY28	0.82	+16%	+0.16	+0.13
FY29	0.51	+0%	+0.01	+0.00	FY29	0.58	+8%	+0.05	+0.03	FY29	0.65	+12%	+0.09	+0.06	FY29	0.84	+18%	+0.17	+0.12	FY29	0.96	+23%	+0.27	+0.20
FY30	0.50	+2%	+0.01	+0.01	FY30	0.59	+11%	+0.07	+0.04	FY30	0.68	+16%	+0.11	+0.07	FY30	0.97	+23%	+0.23	+0.15	FY30	1.14	+28%	+0.39	+0.26
Σ PV explicit FCF					-0.02					+0.11					+0.21					+0.43				
+ PV terminal (g -1.0%)					0.04					0.39					1.01					3.08				
EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE				
Operating EV					\$0.02B					\$0.50B					\$1.22B					\$3.51B				
+ Cash & investments					\$0.54B					\$0.54B					\$0.54B					\$0.54B				
= Equity value					\$0.56B					\$1.04B					\$1.76B					\$4.05B				
FY30 shares (M)					127					127					127					127				
= Expected per share					\$4.41					\$8.19					\$13.86					\$31.89				
FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT				
+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y	
\$7.95	\$14.32	\$25.81	\$46.50		\$13.80	\$23.25	\$39.19	\$66.03		\$21.82	\$34.35	\$54.07	\$85.12		\$47.95	\$72.10	\$108.42	\$163.02		\$93.02	\$136.68	\$200.83	\$295.09	
0.17×	0.30×	0.55×	0.99×		0.29×	0.49×	0.83×	1.40×		0.46×	0.73×	1.15×	1.81×		1.02×	1.53×	2.31×	3.47×		1.98×	2.91×	4.27×	6.28×	

10x Genomics People · Opportunity · Context · Deal

Bear \$8.19 Base \$13.86 Bull \$31.89

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Serge Saxonov · founder-led 14 yrs in seat

8.3% insider ownership MEDIUM key-person risk

Capital allocation (realized)
Co-founder Serge Saxonov has been CEO since founding 10x in 2012; co-founder Ben Hindson is President & CSO. The balance sheet is a fortress — ~\$540M cash and no debt — funding heavy R&D (~\$239M) as the business narrows losses toward profitability (FY2025 net loss \$43.5M, improving; Q1 2026 operating cash flow turned positive). No dividend or buyback. A defining feature is its patent estate: 10x won its long-running suits (Bio-Rad settled and cross-licensed; the NanoString case ended with acquirer Bruker paying 10x \$68M).

Incentive alignment
Saxonov's FY2024 compensation was ~\$7.9M (~92% equity). Insider trading is programmatic 10b5-1 selling (partly RSU tax withholding), no open-market buying. The founders are aligned through their super-voting Class B stake rather than economic ownership — insiders hold under ~8% of the economics but the super-voting class carries the large majority of the votes.

GOVERNANCE FLAGS

- dual-class super-voting: Class B = 10 votes per share; the Class B block holds the large majority of voting power while public Class A holds a small minority
- mitigant: Chair and CEO are SEPARATED — an independent Chairman (John Stuelpnagel), not the founder-CEO
- no single majority controller — the founder's individual voting power is a minority; the super-voting is spread across early holders
- classified / staggered board (three classes) — an entrenchment feature
- no time-based dual-class sunset — Class B converts only on transfer or a co-founder's death/disability
- 6 of 8 directors independent; all three standing committees fully independent

PEOPLE READ

Better-governed than most dual-class names: an independent Chairman separate from the CEO, fully-independent committees, a net-cash balance sheet, and a patent estate that won its wars. The cap at 3 is structural — the super-voting Class B disenfranchises public holders, and the board is classified with no time-based sunset. But no single person controls a majority (the founders' individual votes are a minority), which is why it sits at the top of the 3 tier. Key-person risk is moderate — two founders in the CEO/CSO seats, but a deep independent board and institutional bench.

THE FOUR LEGS

People observable composite · 1–5

Opportunity
The scenario distribution · the business snapshot · the Arthur Indicator

Context
The 7 Powers analysis (Power Audit)

Deal
Open-market common — entry price weighed against the probability-weighted fair value (the -54.5% finding) + position sizing.

10x Genomics

supporting analysis · disclaimers · glossary

Bear \$8.19 Base \$13.86 Bull \$31.89

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

- 1

Razor/blade annuity is the moat.
~85% of revenue is recurring 70%-gross-margin consumables off a >7,900-instrument installed base — a durable Scale-Economies Power.
- 2

Net-cash, self-funding, no dilution.
~\$540M net cash, debt-free, and freshly cash-generative (+\$26M op cash Q1'26) — no raise needed; failure risk negligible.
- 3

IP estate bankrupted a competitor.
10x's droplet/in-situ patents bankrupted NanoString and extract royalties from Bruker/Vizgen — a real cornered resource.
- 4

Spatial (Xenium) is the growth engine.
Spatial consumables +19%; Xenium Protein multiomics extends the lead — the re-acceleration optionality.
- 5

Cost discipline already executed.
A 17% opex cut + 8% headcount reduction collapsed the net loss from -\$183M to -\$44M; the operating leverage is in place if revenue grows.

FALSIFICATION TRIGGERS

Bull validation total revenue growth re-accelerates >7% · spatial offsets single-cell decline · NIH / instrument placements recover · FCF margin > 15%	Bear validation single-cell consumables decline accelerates < -5% · instruments stay frozen · NIH cuts bite · revenue flat-to-down through FY27	Reframe needed if spatial biology inflects into clinical/translational use at scale, re-rate the growth path and terminal multiple toward a secular-platform level
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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

Chromium / single-cell — 10x's flagship single-cell platform; the legacy core — ~\$386M revenue, slowly declining.	Visium / Xenium / spatial — 10x's spatial-biology platforms (in-situ + sequencing-based); the +19% growth engine.	Razor/blade (consumables) — Instruments (the razor) drive recurring consumable-reagent sales (the blade); ~85% of 10x revenue is recurring consumables.
NIH funding shock — ~25% of revenue is NIH-tied; proposed ~40% NIH cuts froze academic instrument purchases (-39% in FY25) — the dominant headwind.	FCF margin — Mature-DCF lever — the free-cash-flow margin the 70% gross margin converts to as revenue and operating leverage build.	